Performance Management in Transition: Balanced Scorecard Design for Mercedes-Benz Group AG

Comparative analysis using publicly disclosed FY2024 and FY2025 reporting and competitor annual reports. Not a client engagement.

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THE QUESTION

Mercedes-Benz is repositioning from volume-led luxury manufacturing to a software-defined mobility business. Does its performance management system measure anything that would tell it whether the transition is working?

1 The transition is being run without measuring the thing being transitioned to

Cars-division adjusted return on sales fell from 12.6% in 2023 to 5.0% in 2025, while MB.OS deployment and software capability remained entirely outside formal KPI reporting. The performance architecture is dominated by financial lagging indicators.

2 Four structural limitations, each tested against an external benchmark

KPI-strategy misalignment, geographic opacity, a sustainability-to-finance timing gap, and absent capability metrics, assessed against Lexus, Toyota, Tesla, Apple and Volvo rather than asserted from first principles.

3 Sixteen KPIs, each with an owner and a lead or lag designation

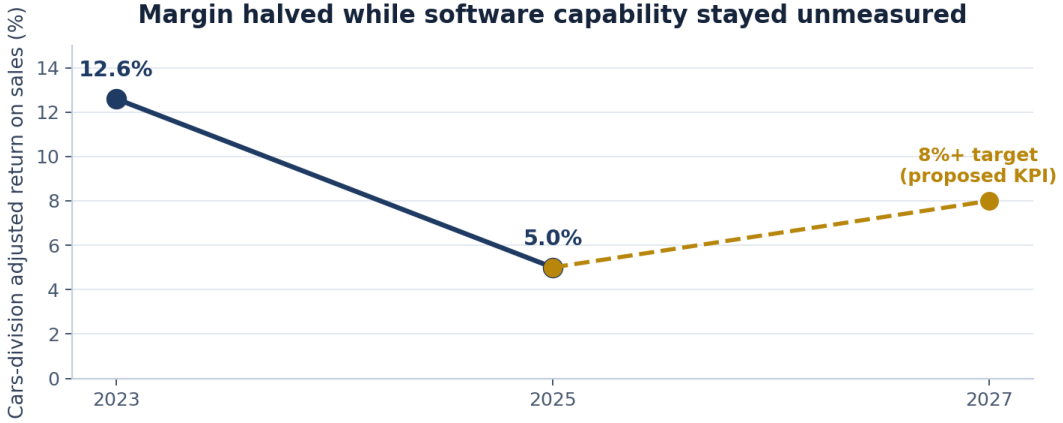
A third-generation Balanced Scorecard replaces the standard Learning and Growth perspective with a capability and software perspective, following Lawrie and Cobbold. Sixteen KPIs across four perspectives sits inside the 15 to 20 range Kaplan and Norton consider workable.

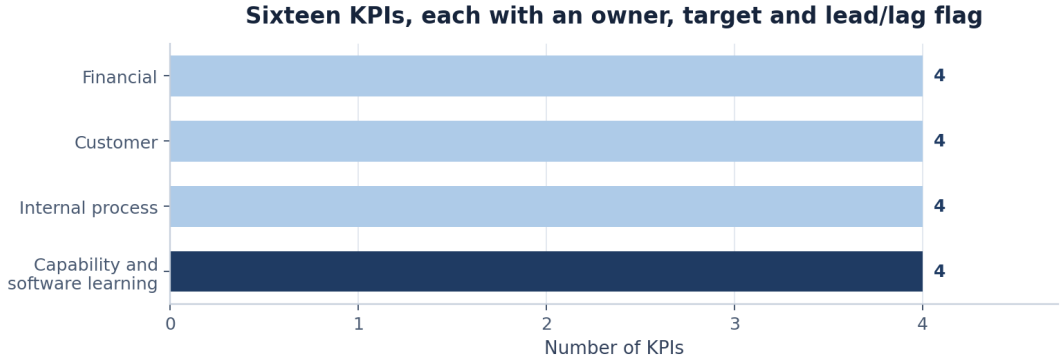
4 The framework choice was argued, not assumed

The existing system was evaluated against Ferreira and Otley's twelve-dimension framework, and the Balanced Scorecard was benchmarked against alternative integrated frameworks so the design choice carried a justification rather than a default.

LIMITATIONS, AND WHAT WOULD CHANGE THE ANSWER

Everything here comes from public disclosures. No management access, no internal data and no confirmation that the KPI gaps identified are absent internally rather than simply unpublished. Targets in the scorecard, including the 8%+ return-on-sales ambition, are derived from the FY25 baseline and stated as assumptions in the appendix rather than company guidance. A comparative benchmark against five firms with different business models tests the direction of an argument, not its magnitude.





Built with Balanced Scorecard (3rd generation) · strategy mapping · Ferreira and Otley framework · five-domain benchmarking

Delivered benchmarking analysis · strategy map · 16-KPI scorecard · governance and implementation plan